

SENATE BILL 1002

By Haile

AN ACT to amend Tennessee Code Annotated, Title 43,
Chapter 16, Part 1 and Section 67-4-102, relative
to subsidiaries of agricultural cooperative
associations.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 43-16-148, is amended by deleting
the section and substituting:

A taxpayer, as defined in § 67-4-2004, organized as a subsidiary and controlled
by one (1) or more agricultural cooperative associations formed in accordance with the
laws of this state shall not be considered as a taxpayer organized for profit and doing
business in this state, or subject to a privilege tax levied by any law as a tax for the
privilege of doing business for profit in this state. It is the legislative intent to exempt by
this section subsidiary taxpayers controlled by agricultural cooperative associations,
where any profits earned by a subsidiary taxpayer is paid over to or expended for the
benefit of the agricultural cooperative association or associations, with the result that the
activities carried on by subsidiary taxpayers eventually promote and benefit the
agricultural interests of this state.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.